

US economy: Trump's trade policies raise recession fears

In recent weeks, **fears** of an economic **slowdown** in the US **have gained traction**. On Monday, the S&P 500 fell 2.7 per cent with growing investor concerns over the impact of Donald Trump's trade policies on the US economy. The **market meltdown** came a day after Trump appeared not to **rule out** the possibility of the economy entering into a **recession**. In an interview on Sunday, when asked, Trump also **sought to deflect** the issue, saying, "I hate to predict things like that." He added, "There is a period of **transition**, because what we're doing is very big."

However, there are some indications of an economic **downturn**. A few days ago the Atlanta Fed's GDPNow model had **pegged** US GDP growth at -2.4 per cent in the first quarter of 2025 (seasonally adjusted annual rate). While these estimates can be **volatile**, Goldman Sachs has now **upped the odds** of a recession from 15 per cent to 20 per cent. Consumer confidence in the US is also falling – the Conference Board's consumer confidence index fell to 98.3 in February, from 105.3 in January. Markets, firms and consumers dislike uncertainty. And, there is **considerable** uncertainty over how Trump's tariff policies will **play out** and what will be the **retaliatory** impact — Trump has already gone **back and forth** on **levying** tariffs on countries. This also **reflects** in the economic policy uncertainty index of the Federal Reserve Bank of St. Louis which has been **edging** upwards. However, **so far**, other indicators do seem to indicate that the economy is **humming** along. The labour market appears to be **holding up**. In February, the US economy added 1,51,000 jobs, only **marginally** below expectations. The unemployment rate though has edged up to 4.1 per cent. Further, the New York Fed's Nowcast model is at 2.67 per cent for the first quarter of 2025. However, the long-term **implications** of levying such tariffs **are** clear. **For instance**, as per the Tax Foundation, a Washington-based **think tank**, 25 per cent **tariffs** on Canada and Mexico **would** lower long-run GDP by 0.2 per cent.

Attention will now shift to the US Federal Reserve. In its last meeting held in January, the Fed had voted to maintain the federal funds rate in the range of 4.25 to 4.5 per cent. However, **retail inflation** rose to 3 per cent in January, while **core inflation** was at 3.3 per cent. Data for February will be released on Wednesday. The **imposition** of tariffs, which will be **inflationary**, **will** make it difficult for the Fed to further **ease** policy rates – a policy **stance** that Donald Trump favours. The next **meeting** of the Fed, scheduled for March 18-19, **will** provide greater **clues** on the **trajectory** of monetary policy in the US.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

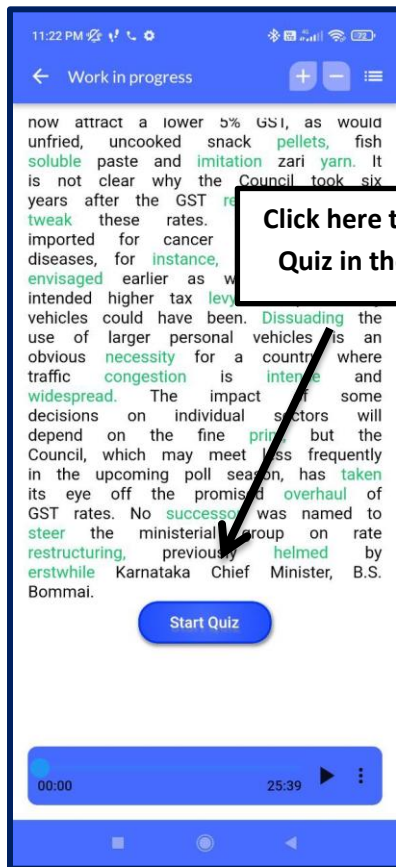
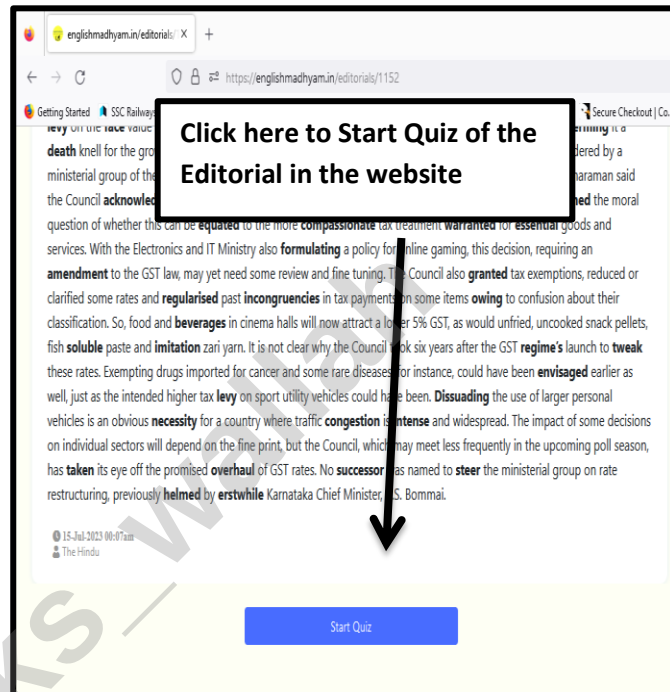
1. **Recession** (noun) – Downturn, Slump, Decline, Depression, Stagnation मंदी
2. **Slowdown** (noun) – Decline, Deceleration, Downturn, Slump, Reduction मंदी
3. **Gain traction** (phrase) – Gain momentum, Become popular, Catch on, Succeed, Progress प्रभावी होना
4. **Market meltdown** (noun) – Crash, Collapse, Decline, Plunge, Drop बाजार गिरावट
5. **Rule out** (phrasal verb) – Exclude, Eliminate, Reject, Dismiss, Discard खारिज करना
6. **Seek** (verb) – Pursue, Attempt, Strive, Request, Aim तलाश करना
7. **Deflect** (verb) – Divert, Redirect, Distract, Sidetrack, Avert मोड़ना
8. **Transition** (noun) – Change, Shift, Transformation, Conversion, Passage परिवर्तन
9. **Downturn** (noun) – Decline, Slump, Recession, Slowdown, Deceleration मंदी
10. **Peg** (verb) – Fix, Set, Attach, Pin, Anchor स्थिर करना
11. **Volatile** (adjective) – Unstable, Unpredictable, Erratic, Fluctuating, Changeable अस्थिर
12. **Up** (verb) – Increase, Raise, Boost, Enhance, Elevate बढ़ाना
13. **The odds** (noun) – Chances, Probability, Likelihood, Possibility, Prospects संभावना
14. **Considerable** (adjective) – Significant, Substantial, Large, Ample, Notable काफी
15. **Play out** (phrasal verb) – Unfold, Develop, Evolve, Progress, Happen घटित होना
16. **Retaliatory** (adjective) – Revengeful, Punitive, Counteractive, Vindictive, Reprisal प्रतिशोधी
17. **Back and forth** (phrase) – To and fro, Alternately, Reciprocally, Repeatedly, Oscillating आगे-पीछे
18. **Levy** (verb) – Impose, Charge, Tax, Collect, Enforce लगाना
19. **Reflect** (verb) – Indicate, Show, Suggest, Demonstrate, Reveal प्रदर्शित करना
20. **Edge** (verb) – Move gradually, Inch, Creep, Advance, Progress धीरे-धीरे बढ़ना
21. **So far** (phrase) – Until now, Up to now, Thus far, To date, As yet अब तक

22. **Hum** (verb) – Buzz, Thrive, Operate, Function, Work चलना
23. **Hold up** (phrasal verb) – Sustain, Maintain, Endure, Support, Withstand टिके रहना
24. **Marginally** (adverb) – Slightly, Barely, Minimally, Narrowly, Fractionally थोड़ा
25. **Implication** (noun) – Consequence, Effect, Impact, Ramification, Outcome प्रभाव
26. **For instance** (phrase) – For example, Such as, Like, Including, Namely उदाहरण के लिए
27. **Think tank** (noun) – Research institute, Policy group, Advisory body, Brain trust, Institute विचार मंच
28. **Retail inflation** (noun) – the rate at which the cost of goods and services increases over time
29. **Core inflation** (noun) – the change in prices of goods and services, except for those from the food and energy sectors.
30. **Imposition** (noun) – Enforcement, Application, Levy, Introduction, Infliction लागू करना
31. **Inflationary** (adjective) – Price-increasing, Cost-raising, Inflation-causing, Rising, Escalating मुद्रास्फीतिक
32. **Ease** (verb) – Reduce, Lessen, Alleviate, Relax, Mitigate कम करना
33. **Stance** (noun) – Position, Attitude, Standpoint, Viewpoint, Approach रुख
34. **Clue** (noun) – Hint, Indication, Sign, Signal, Evidence संकेत
35. **Trajectory** (noun) – Path, Course, Direction, Route, Trend प्रक्षेपवक्र

Summary of the Editorial

1. **Recession Fears:** Growing concerns about a potential economic slowdown in the US have been fueled by Donald Trump's trade policies.
2. **Market Decline:** The S&P 500 fell 2.7% on Monday, reflecting investor anxiety over the impact of Trump's trade policies.
3. **Trump's Ambiguity:** Trump did not rule out the possibility of a recession, stating, "I hate to predict things like that," and emphasizing a period of transition.
4. **Negative GDP Estimate:** The Atlanta Fed's GDPNow model projected US GDP growth at -2.4% for Q1 2025, signaling a potential downturn.
5. **Increased Recession Odds:** Goldman Sachs raised the probability of a recession from 15% to 20%.
6. **Declining Consumer Confidence:** The Conference Board's consumer confidence index dropped to 98.3 in February from 105.3 in January.
7. **Uncertainty Over Tariffs:** Markets, firms, and consumers are concerned about the uncertainty surrounding Trump's tariff policies and potential retaliatory measures.
8. **Policy Uncertainty Index:** The Federal Reserve Bank of St. Louis's economic policy uncertainty index has been rising, reflecting heightened uncertainty.
9. **Mixed Economic Indicators:** While some indicators, like the labor market, remain stable (151,000 jobs added in February), the unemployment rate has edged up to 4.1%.
10. **Positive Nowcast Estimate:** The New York Fed's Nowcast model predicts 2.67% GDP growth for Q1 2025, offering a more optimistic outlook.
11. **Long-Term Tariff Impact:** The Tax Foundation estimates that 25% tariffs on Canada and Mexico could reduce long-run GDP by 0.2%.
12. **Federal Reserve's Role:** Attention is shifting to the US Federal Reserve, which maintained the federal funds rate at 4.25-4.5% in its January meeting.
13. **Inflation Concerns:** Retail inflation rose to 3% in January, with core inflation at 3.3%, complicating the Fed's ability to ease policy rates.
14. **Tariffs and Inflation:** Trump's tariffs are expected to be inflationary, making it harder for the Fed to lower interest rates, a move Trump supports.
15. **Upcoming Fed Meeting:** The Federal Reserve's next meeting on March 18-19 will provide clarity on the future trajectory of US monetary policy.

Practice Exercise: Banking Pattern Based

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